

Hero MotoCorp Ltd

HEROMOTOCO · Consumer Discretionary

ROE

21.1%

ROCE

173.7%

Net Profit Margin

9.9%

Debt-to-Equity

0.03

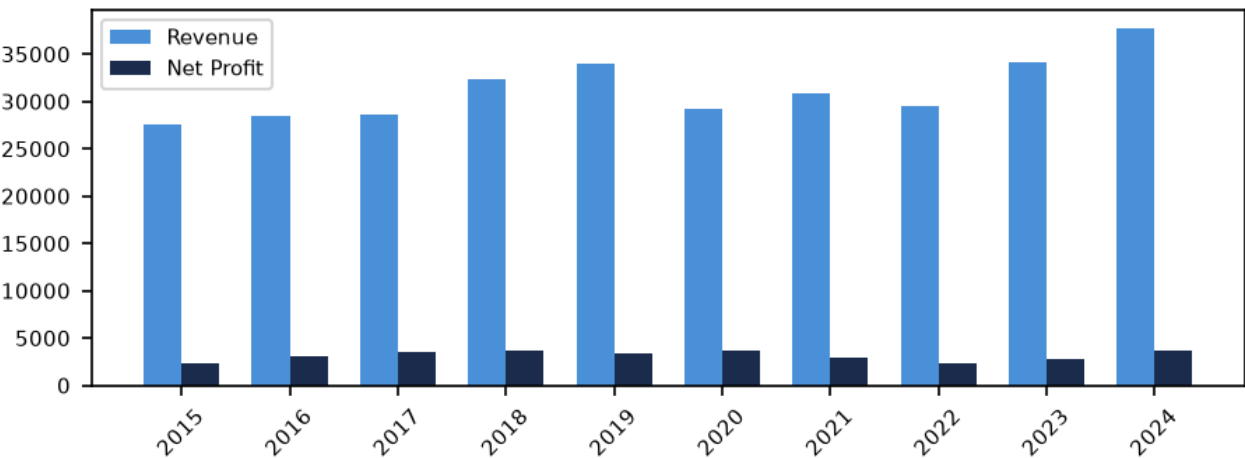
Revenue CAGR (5yr)

2.1%

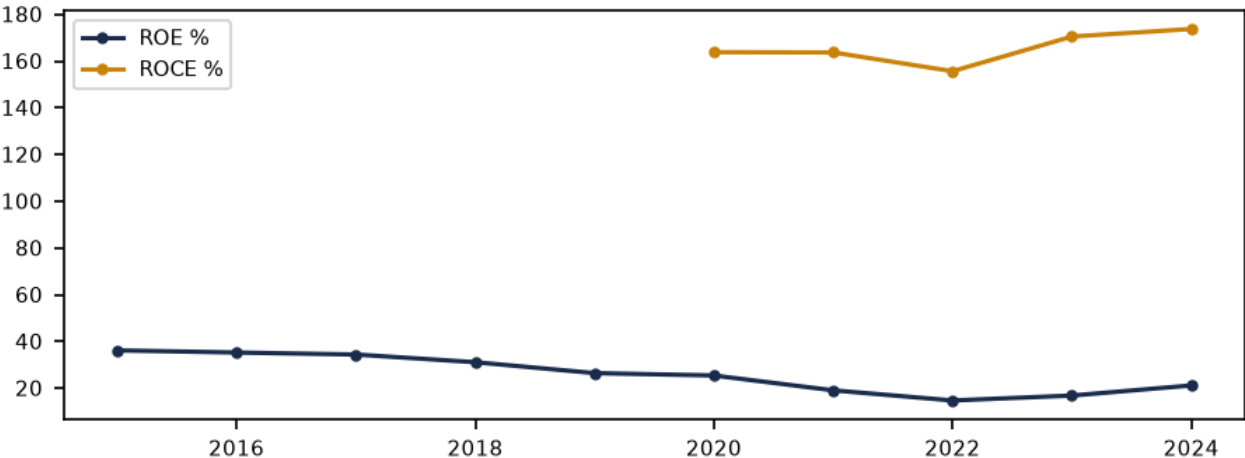
Free Cash Flow

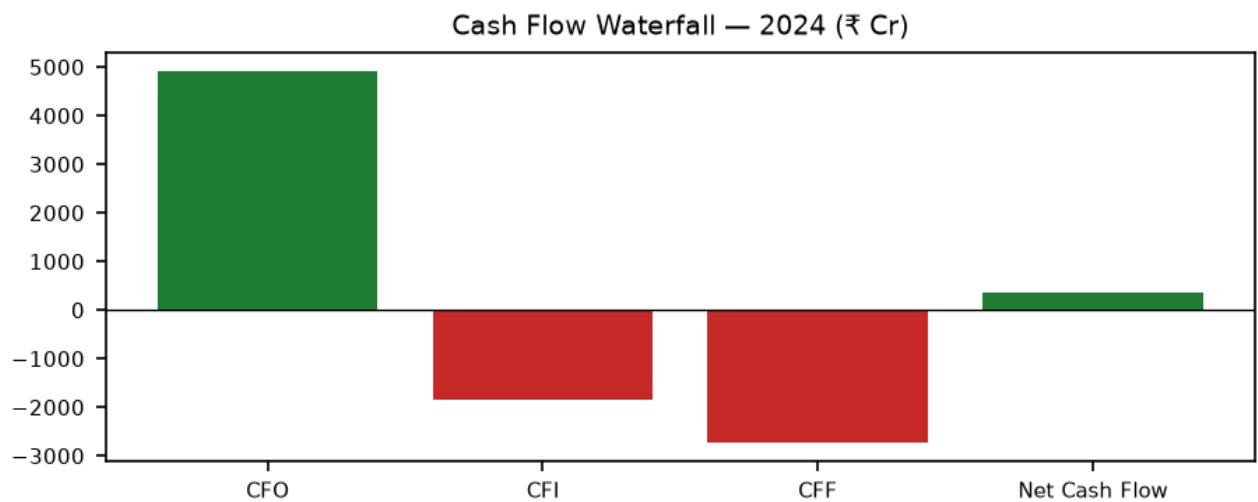
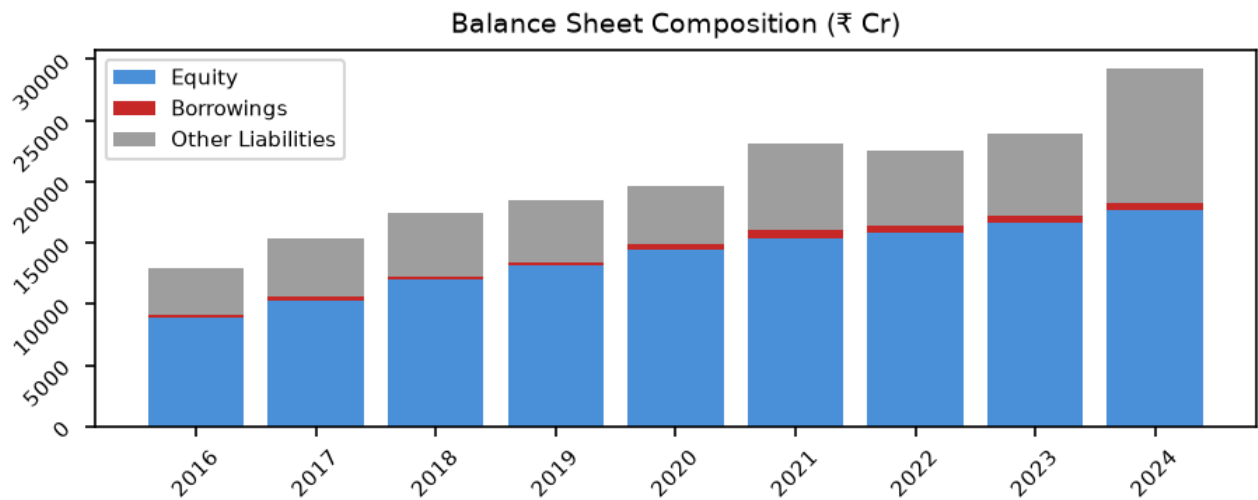
■ 3,095 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Reinvestor